

ments in that high-risk investments can throw off high returns. High-risk investments are flyers. Buy or short-sell volatile stocks. Play the commodities, foreign exchange, or options markets. Trade gold and silver. Invest in a friend's startup business for half of the profits. Buy an apartment building. Do an oil and gas exploration deal, or buy oil and gas reserves.

Your local bookstore is full of books on how to make a million in real estate, gold, foreign currency, or whatever. My advice is to buy one of the books, take \$10,000 or so out of your savings, and get cracking.

How should you choose your high-risk investments? First, choose something that interests you. That way you'll have fun while you play around. Second, invest in areas you know at least something about. If you've lived overseas, for example, you probably know foreign currencies better than U.S. real estate. Third, make sure you control your downside risk. You can afford to lose the \$10,000 you put into a high-risk deal. But you don't want to be on the hook for any more than that.

How can you control your downside? If you buy an apartment building, make sure the mortgage loans are nonrecourse to you. California real estate loans, for example, are generally considered nonrecourse; Texas real estate loans are not. If you're playing the stock market, place stop orders to cash you out before you lose too much. If you're doing oil and gas deals, refuse to sign letters of credit that put you at risk for more than your preset limit. If you finance a friend's new business, refuse to cosign the bank loan.

The final point about choosing high-risk deals is to make sure you put yourself in a position to hit a home run. Don't do high-risk deals that offer only mediocre returns. For example, make certain that if your wildcat drilling deal strikes oil, you'll get your fair share. Avoid deals that leave the big money for the drillers rather than the investors. If you help a friend start a business, make certain you get your money back